

- | | | | |
|--|---|---|---|
| 11. Which of the following is a point of difference between perfect and monopolistic competition? | 1 | 1 | 3 |
| (A) In perfect competition, the firms produce goods that are identical in all aspects, but under monopolistic competition, the goods are not identical | | | |
| (B) There are many barriers to entry in perfect competition but monopolistic competition does not have any such problems | | | |
| (C) There are many barriers to entry in monopolistic competition but perfect competition does not have any such problems | | | |
| (D) Under perfect competition, there are many firms of relatively smaller size, but that is not the case for monopolistic competition | | | |
| 12. Which of the following statements is true? | 1 | 1 | 3 |
| (A) In perfect competition, the firm and industry both are one and the same | | | |
| (B) In monopolistic competition, the firm and industry both are one and the same | | | |
| (C) In monopoly, the firm and industry both are one and the same | | | |
| (D) In a duopoly, the firm and industry both are one and the same | | | |
| 13. Which of the following statements is true for both monopolistically competitive and oligopolistic industries? | 1 | 1 | 4 |
| (A) It is impossible for new firms to enter the industries. | | | |
| (B) Collusion and the creation of cartels is common | | | |
| (C) Producers cannot benefit from knowing other firms' plans. | | | |
| (D) Firms have some degree of control over prices | | | |
| 14. Which of the following statements is not a feature of the imperfect competition? | 1 | 1 | 4 |
| (A) Imperfect competition has a large number of sellers | | | |
| (B) Imperfect competition has a single seller | | | |
| (C) The products manufactured under monopolistic competition are homogeneous in nature | | | |
| (D) The products manufactured under monopolistic competition are heterogeneous in nature | | | |
| 15. Current account deposits are | 1 | 1 | 4 |
| (A) Non Repayable | | | |
| (B) Not Repayable on demand | | | |
| (C) Repayable on demand | | | |
| (D) Repayable on transfer | | | |
| 16. Which of the following is a step that the central bank will take to increase the overall availability of credit? | 1 | 1 | 4 |
| (A) It will sell the government securities in the market | | | |
| (B) It will buy more government securities from the market | | | |
| (C) It will raise the reverse repo rate | | | |
| (D) It will raise the repo rate | | | |
| 17. The primary policy of RBI monetary policy is to | 1 | 1 | 5 |
| (A) Wealth | | | |
| (B) Exchange rate | | | |
| (C) Income Equality | | | |
| (D) Price Stability | | | |
| 18. Which of the following is the correct term for calculating National Income at the market prices? | 1 | 1 | 5 |
| (A) Money Income | | | |
| (B) Non Monetary Income | | | |
| (C) Real Income | | | |
| (D) Implicit income | | | |
| 19. An increase in the price of good or service tends to ----- the quantity | 1 | 1 | 5 |
| (A) Decrease | | | |
| (B) Increase | | | |
| (C) Equal | | | |
| (D) No effect | | | |
| 20. The farther the indifference curve from the origin then ----- is satisfaction level | 1 | 1 | 5 |
| (A) Lower | | | |
| (B) Higher | | | |
| (C) Same | | | |
| (D) No effect | | | |

PART - B (5 × 8 = 40 Marks)Answer **all** Questions

		Marks	BL	CO
21.	(a) What is the nature of Economics? (OR) (b) What is the nature of scarcity?	8	2	1
22.	(a) Explain the Law of Demand. (OR) (b) Discuss law of supply	8	2	2
23.	(a) Write a short note on Law of Variable proportions. (OR) (b) Define production	8	2	3
24.	(a) What is perfect competition? (OR) (b) Give nature of competition	8	2	4
25.	(a) What is monetary policy? (OR) (b) What is deficit	8	2	5

PART - C (1 × 15 = 15 Marks)Answer **any 1** Questions

		Marks	BL	CO
26.	Explain the Demand Theory. Discuss in detail the different elasticity of demand	15	2	2
27.	What is monopoly? Explain the price determination under monopoly.	15	2	4

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